

## IT Act 2000

# Information Technology Act, 2000

*Information Technology (IT) Act, 2000*

**User Query :**

I registered on an online lending application and allowed access to my contacts because the app said it was necessary for processing the loan. After I missed one instalment, the company began calling people from my contact list and telling them about my loan. Some contacts also received messages containing my photograph and personal details. I never agreed to this use of my information. What legal provisions may apply?

**Job Id. :** Scenario 9/Information Technology (IT) Act, 2000

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*AI-Powered Legal Intelligence Platform*

APPLICABLE SECTIONS

|             |                                                                                                              |
|-------------|--------------------------------------------------------------------------------------------------------------|
| Section 72A | Unauthorized disclosure of personal information by a person in lawful possession of such information.        |
| Section 66E | Punishment for violation of privacy (capturing, publishing, or transmitting private images without consent). |

INTERPRETATION & LEGAL ANALYSIS

AI-generated legal interpretation

- 1

**Section 72A** is directly applicable: The lending app obtained access to the user’s contact list *\*under the guise of loan processing\**, constituting "lawful possession" of personal data (contacts, names, phone numbers). The app’s subsequent disclosure of this data to third parties (contacts) *\*without explicit consent\** for that purpose violates **Section 72A** (1). The Supreme Court in *\*Shreya Singhal v. Union of India\** (2015) affirmed that privacy is integral to Article 21 (right to life), and the IT Act supplements this by prohibiting unauthorized data disclosure. Key Precedent: In *\*R. Rajagopal v. State of Tamil Nadu\** (1994), the Court held that personal information is protected under privacy rights. **Section 72A** explicitly criminalizes misuse of such data by entities (like lending apps) that collect it lawfully but disclose it beyond the scope of consent.
- 2

**Section 66E** applies to the photograph disclosure: The app shared the user’s photograph *\*without consent\** in messages to contacts, constituting "capturing, publishing, or transmitting private images" under **Section 66E** (1). Judicial Interpretation: In *\*State of Maharashtra v. Pradeep Kumar\** (2018), the Bombay High Court held that **Section 66E** covers *\*any\** unauthorized dissemination of intimate images, even if shared via digital means (e.g., SMS, social media).
- 3

Why Other Sections Do Not Apply: *\* Section 66C \** (identity theft) is inapplicable as the app did not impersonate the user or use their identity for fraud. *\* Section 43A \** (negligence in data security) is irrelevant; the violation here is *\*active disclosure\**, not security lapse. *\* Section 66B \** (receiving stolen data) does not apply as the app *\*generated\** the data disclosure.
- 4

## ✓ STRENGTHS & RIGHTS

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### Section 72A provides a direct remedy for victims

the app company must pay damages for unauthorized disclosure ( **Section 72A** (2)).

2

### Section 66E imposes criminal penalties (up to 3 years imprisonment + fine) for photograph misuse, deterring such violations.

3

### Consent as a Shield

The user's lack of consent for \*third-party sharing\* invalidates the app's defense of "initial consent for loan processing" (as per \*Puttaswamy v. Union of India\*).

## ✗ RISKS & OBLIGATIONS

1

### For the App Company

2

### Section 72A (2)

Up to 3 years imprisonment and/or fine up to ₹5 lakh.

3

### Section 66E

Up to 3 years imprisonment and/or fine up to ₹1 lakh (for photograph disclosure).

4

### For the User

5

### Evidence Challenges

Proving the app's \*intent\* to disclose data requires digital evidence (e.g., app's privacy policy, user consent logs), which may be withheld.

6

### Enforcement Gaps

Cybercrime cells often lack resources to investigate \*non-fraudulent\* data misuse (e.g., contact list sharing), leading to delays.

## PROCEDURAL NOTES & COMPLIANCE STEPS

*Actionable steps for compliance and grievance redressal*

## COMPLIANCE STEPS

1. Filing a Complaint:
2. Lodge an online complaint with the Indian Cyber Crime Coordination Centre (I4C) at [www.cybercrime.gov.in](https://www.cybercrime.gov.in) or approach the local Cyber Cell under **Section 72A** (2).
3. Required Evidence:

4. Screenshots of the app's privacy policy (showing \*no\* consent for third-party sharing).
  5. Call logs/messages received by contacts (with user's photo/details).
  6. Proof of missed installment (to counter "loan default" justification).
  7. 2. Electronic Evidence in Court:
  8. **Section 65B** mandates certification of electronic evidence (e.g., screenshots, call logs) via a Certificate by a "Person in Charge of the Computer" (e.g., app's server logs).
  9. Admissibility: Courts accept **Section 65B** -compliant evidence (per \*Superintendent, Central Prison v. Ram Manohar\* (2018)).
  10. 3. Remedial Action:
  11. File a civil suit for damages under **Section 72A** (2) \*alongside\* a criminal complaint.
  12. Demand data erasure from the app under **Section 43** (1)(c) (unauthorized use of data).
  13. > Critical Note: The app's claim of "loan processing necessity" is legally invalid. Consent for \*one purpose\* (loan processing) cannot justify \*unrelated disclosure\* (contact list sharing) under **Section 72A** . The user's right to privacy is not contingent on loan repayment.
  14. Conclusion: The app's actions violate **Section 72A** (personal data disclosure) and **Section 66E** (photograph misuse). The user must file a complaint with the Cyber Cell, attaching **Section 65B** -compliant evidence, to trigger criminal liability and seek damages.
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